

KWSP / EPF WITHDRAWAL PROCEDURES AND REGULATIONS

1. Introduction and Overview of the Employees Provident Fund (EPF) The Employees Provident Fund (EPF), known locally as Kumpulan Wang Simpanan Pekerja (KWSP), is a federal statutory body under the purview of the Ministry of Finance Malaysia. It manages the compulsory savings plan and retirement fund for private-sector workers and non-pensionable public-sector employees in Malaysia. The primary mandate of the EPF is to ensure that members have sufficient savings to sustain a reasonable standard of living post-retirement.

While the fundamental purpose of the EPF is to secure retirement funds, the institution recognizes that members may face significant life events or financial hurdles before reaching retirement age. Therefore, EPF allows for specific pre-retirement withdrawals aimed at wealth creation (like buying a house) and survival needs (like healthcare and education). Understanding the withdrawal framework is critical for members to optimize their financial planning.

2. The Paradigm Shift: 2024/2025 Account Restructuring To understand current EPF withdrawal mechanisms, it is mandatory to comprehend the recent structural overhaul. Effective May 11, 2024, the EPF implemented a massive restructuring of member accounts. Previously split into Account 1 (70%) and Account 2 (30%), the new structure divides members' savings (for those under age 55) into three distinct accounts to balance long-term retirement security with short-term financial flexibility.

- **Akaun Persaraan (Retirement Account - Formerly Account 1):** This account receives 75% of a member's monthly contributions. Its sole purpose is to accumulate and grow wealth for long-term retirement. Savings in this account cannot be withdrawn until the member reaches the age of 55, except under extreme circumstances such as incapacitation, death, leaving the country permanently, or if the member utilizes the EPF Members Investment Scheme (EPF MIS) to invest in approved unit trusts.
- **Akaun Sejahtera (Wellbeing Account - Formerly Account 2):** Receiving 15% of monthly contributions, this account is designed to meet medium-term pre-retirement life cycle needs. Savings here can be withdrawn for housing, education, healthcare, Hajj, and upon reaching the age of 50.
- **Akaun Fleksibel (Flexible Account - Account 3):** Receiving 10% of monthly contributions, this entirely new account caters to short-term emergency financial needs. Unlike the other accounts, Akaun Fleksibel allows members to withdraw funds at any time for any purpose without needing to provide supporting documents or justification to the EPF.

3. Akaun Fleksibel (Account 3) Withdrawal Mechanics The introduction of Akaun Fleksibel has provided unprecedented liquidity to EPF members. However, specific operational rules govern its usage to ensure security.

- **Eligibility and Limits:** Any member under the age of 55 who has a balance in their Akaun Fleksibel can apply for a withdrawal. The absolute minimum withdrawal amount is RM50. There is no maximum limit; members can withdraw the entire balance of their Akaun Fleksibel if they choose. Members are permitted to make one withdrawal application per day.
- **Application Process:** Applications are primarily processed via the KWSP i-Akaun mobile application or the i-Akaun web portal.
- **Security and Verification (eKYC):** For withdrawals exceeding RM250 done online, electronic Know Your Customer (eKYC) verification (such as facial recognition) is required. If the online eKYC fails, or if a member is making a significant withdrawal (typically over RM10,000) for the first time or to a new bank account, the member must physically visit an EPF office or a Self-Service Terminal (SST) for secure thumbprint verification.
- **Payment Disbursement:** Upon successful application and verification, the approved funds are credited directly to the member's active personal bank account (joint accounts or company accounts are strictly prohibited). Processing typically takes up to 7 working days.

4. Akaun Sejahtera (Account 2) Pre-Retirement Withdrawals Akaun Sejahtera holds funds meant for significant life milestones. Withdrawals from this account are highly regulated and require strict documentation.

4.1. Housing Withdrawals EPF recognizes homeownership as a pillar of retirement security. Consequently, members can utilize Akaun Sejahtera for several housing-related purposes:

- **Buy/Build a House:** Members can withdraw funds to cover the deposit (typically 10% of the property price) or reduce the initial loan amount for their first home. If they have used EPF for a first home but subsequently sold it, they can apply again for a second home. Members can withdraw the difference between the purchase price and the approved loan amount, plus an additional 10% of the purchase price, or the entire balance of their Akaun Sejahtera, whichever is lower.
- **Reduce/Redeem Housing Loan:** Members can make lump-sum withdrawals to reduce the principal balance of an existing housing loan, thereby saving on long-term interest.

- **Housing Loan Monthly Instalment:** Members can set up a mechanism where EPF directly pays a portion of their monthly housing loan instalment to the bank for a minimum period of six months.
- **Flexible Housing:** This allows members to "ring-fence" a portion of their Akaun Sejahtera savings. Financial institutions will view these ring-fenced EPF contributions as part of the member's income, thus increasing their housing loan eligibility limit.

4.2. Education Withdrawals Members can withdraw from Akaun Sejahtera to finance higher education (Certificate Level 3, Diploma, Degree, Masters, or PhD) for themselves, their spouses, their children, or their parents.

- **Scope of Coverage:** The withdrawal can cover tuition fees, hostel fees, and a one-way flight ticket for first-year students. It can be used for local public and private institutions, as well as approved overseas universities.
- **Documentation:** Rigorous proof is required, including the original enrolment confirmation letter from the university, course accreditation letters, and tuition fee invoices or payment receipts (if applying for a reimbursement).

4.3. Health and Medical Withdrawals If a member, their spouse, children, parents, or siblings suffer from critical illnesses, Akaun Sejahtera funds can be deployed to cover the medical costs.

- **Scope of Coverage:** This covers an extensive list of critical illnesses approved by the EPF (e.g., cancer, severe heart disease, kidney failure). It covers the actual medical bills that are not sponsored by the patient's employer or covered by personal medical insurance.
- **Documentation:** A comprehensive medical report from a registered medical practitioner detailing the illness, the recommended treatment, and the costs involved is mandatory. Original payment receipts are required for reimbursements.

4.4. Age 50 Withdrawal As a transitional step towards retirement, when a member reaches the age of 50, they are granted a one-time privilege to withdraw any amount—up to the entire balance—from their Akaun Sejahtera to assist with early retirement planning.

4.5. Hajj Withdrawal Muslim members can withdraw from Akaun Sejahtera to supplement their savings in Lembaga Tabung Haji (LTH) for the purpose of performing the Hajj pilgrimage. Members can withdraw the difference between the total Hajj cost and their LTH savings balance, subject to a maximum cap of RM3,000.

5. Full Withdrawals and Retirement Milestones The ultimate goal of the EPF is realized when a member reaches retirement age or faces situations where they can no longer participate in the Malaysian workforce.

5.1. Age 55 Withdrawal Reaching 55 is a major milestone in the EPF framework. Upon turning 55, the balances in a member's Akaun Persaraan, Akaun Sejahtera, and Akaun Fleksibel are entirely merged into a newly created consolidated account called **Akaun 55**.

- **Flexibility:** From Akaun 55, members have absolute freedom. They can choose to make a full withdrawal of all their funds, partial withdrawals of any amount at any time, or set up monthly recurring payments to simulate a pension.
- **Continued Dividends:** If the member chooses not to withdraw the funds, the money remaining in Akaun 55 continues to earn annual EPF dividends.

5.2. Age 60 Withdrawal (Akaun Emas) If a member continues to work after the age of 55, any new EPF contributions made by the employer and employee from age 55 to 60 are NOT credited into Akaun 55. Instead, these new contributions are sequestered into a separate account known as **Akaun Emas (Gold Account)**.

- Funds in Akaun Emas are strictly locked and cannot be withdrawn for any reason until the member officially reaches the age of 60. Once the member turns 60, Akaun Emas merges with whatever is left in Akaun 55, and the member can perform an Age 60 Full Withdrawal.

5.3. Leaving the Country Withdrawal Members who are permanently emigrating from Malaysia are allowed to withdraw their entire EPF savings in one lump sum. This applies to:

- Malaysians who have officially renounced their citizenship.
- Permanent Residents (PR) who have surrendered their PR status.
- Expatriates and Foreign Workers whose employment contracts have ended and who are returning to their home countries. This process requires stringent verification from the Immigration Department, including Check-Out Memos and cancellation of work passes.

5.4. Incapacitation and Death Withdrawals

- **Incapacitation:** If a medical board certifies that a member is physically or mentally incapacitated and permanently unable to work, they can withdraw their entire EPF balance. Furthermore, EPF may provide an additional one-time Incapacitation Assistance payout as a gesture of compassion.

- **Death:** If a member passes away, their EPF savings serve as a financial safety net for their next of kin. If the member had registered a Nominee (Penama), the funds are disbursed rapidly to the nominee. If no nomination was made, the funds go to the member's legal administrator or next of kin, which may require complex legal procedures (like obtaining a Letter of Administration or Grant of Probate). EPF also provides a one-time Death Assistance payment of RM2,500 to eligible dependents to help with funeral arrangements.

6. Withdrawal Exceeding RM1 Million The EPF allows high-net-worth members whose total savings exceed RM1.1 million to withdraw the excess amount to manage their wealth independently. For instance, if a member has RM1.5 million, they can withdraw the RM400,000 excess. The deduction follows a strict sequence: funds are first taken from Akaun Fleksibel; if insufficient, from Akaun Sejahtera; and finally, if still required, from Akaun Persaraan.

7. General Application Procedures and Fraud Prevention The EPF has digitized over 80% of its withdrawal processes through the i-Akaun portal to ensure speed and transparency.

- **Direct Crediting:** EPF strongly mandates direct electronic fund transfers (GIRO) to the member's bank account. The bank account must be active and strictly in the member's name.
- **Anti-Scam Measures:** EPF actively warns members against using third-party "agents" or syndicates who claim they can help members bypass EPF rules to withdraw funds early for a high commission. Engaging such syndicates is a criminal offense under the EPF Act 1991. The EPF does not appoint any third-party agents for withdrawals; all applications should be made directly by the member via official channels.